

May 23, 2024

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**Re: Protest of the Vehicle Grid Integration Council to Advice Letter 5285-E-A of Southern California Edison Company: Dual Participation in the Southern California Edison Expanded Dynamic Rate Pilot and Demand Response Programs**

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Dear Sir or Madam:

Pursuant to the provisions of General Order 96-B, the Vehicle Grid Integration Council (“VGIC”) hereby submits this Protest to the above-referenced Supplement to Advice Letter 5285-E-A of Southern California Edison (“SCE”), *Supplement to Advice 5285-E, Dual Participation in the Southern California Edison Expanded Dynamic Rate Pilot and Demand Response Programs* (“Advice Letter”) submitted on May 14, 2024.

## **I. INTRODUCTION**

In Decision (“D.”) 24-01-032, the Commission directs SCE to propose rules to avoid double compensation and double counting, and details that in response to the August 15, 2023 Staff Proposal, “SCE similarly opposed exclusion of customers participating in DR programs from the SCE Extended Pilot, arguing that this exclusion would hinder participation and limit learnings from the pilot. SCE argued that dynamic pricing is not DR and is not a market product. **SCE argued that there is no basis under the Commission’s DR dual participation rules for preventing participation in both DR programs and dynamic rates**” (emphasis added).<sup>1</sup> Following the March 1, 2024, workshop hosted by SCE and Pacific Gas and Electric (“PG&E”), SCE filed Advice Letter 5285-E on April 26, 2024, requesting approval for the methods to avoid double compensation and evaluate impacts for dual participating customers. Advice Letter 5285-E-A, however, requests to revoke the dual participation option for Emergency Load Reduction Program, Subgroup A.5 customers. VGIC appreciates the unique challenges SCE faces in enabling dual participation across these two pilots and commends SCE for its work to propose a methodology in Advice Letter 5285-E-A initially. However, VGIC details below its grounds for

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<sup>1</sup> D.24-01-032, pg. 60-61.

protest based on legal and factual errors found in Advice Letter 5285-E-A, which aims to relitigate the clear and explicit Commission intent in D.24-01-032, fails to weigh alternative methodologies to permit dual participation, injects significant uncertainty into the VGI market during a critical stage of market development, and overlooks the outsized impact of this proposed prohibition on certain customers.

## **II. GROUNDS FOR PROTEST**

### **A. SCE's Request to Exclude Dynamic Rate Pilot Customers from Dual Participating in ELRP Subgroup A.5 Violates Commission Decision 24-01-032.**

In D.24-01-032, the Commission finds, in no uncertain terms, that “it is reasonable to allow dual-participation in the expanded pilots and the following tariffs and programs: Critical Peak Pricing, electrification rates, TOU rates, NEM and NBT, and ELRP Subgroup A.”<sup>2</sup> This finding was preceded by the Commission’s written discussion, which carefully deliberates the thorough record on the topic and culminates in the Commission’s clear and unwavering intent. Ordering Paragraph (“OP”) 2 of D.24-01-032 therefore directs SCE to file a Tier 2 advice letter to “propose an implementation plan to expand the dynamic rate pilot authorized in D.21-12-015 and to apply all modifications to the pilot authorized in this decision on June 1, 2024.”<sup>3</sup> The OP also states that the SCE must propose “how to address dual participation issues and input from the dual participation workshop.”<sup>4</sup> Advice Letter 5285-E-A, however, directly violates the Commission intent and the plain language found in D.24-01-032, as it aims to prohibit dual participation between SCE’s dynamic rate pilot and ELRP Subgroup A.5.

It is worth considering not only the procedural error and precedent violation that the request in Advice Letter 5285-E-A represents but also the material impact that relitigating this issue has on the ratepayers and customers meant to benefit from the pilot. Namely, the market for VGI solutions, including the vehicle-to-everything (“V2X”) manufacturers and aggregators, sits at a critical juncture in California. V2X solutions offer an immense potential opportunity both in the immediate term and over the long run to mitigate rising ratepayer costs (i.e., helping to address the nearly \$50 billion of distribution system upgrade costs identified in the Kevala Electrification Impact Study, Phase 1), lower participating customer bills and, in turn, accelerate transportation electrification, facilitate renewable energy integration and grid decarbonization, bolster grid reliability, and support community resiliency. However, the solutions and the ecosystem needed to enable and operationalize the technology lie at a relatively nascent stage of market development. In the past, California has gone to great lengths to support market transition for similar

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<sup>2</sup> D.24-01-032, pg. 64.

<sup>3</sup> D.24-01-032, OP 2.

<sup>4</sup> *Ibid.*

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technologies that can yield many of the same material benefits, including rooftop solar, smart thermostats, stationary energy storage, and heat pump hot water heaters. Currently, automotive manufacturers (i.e., “OEMs”), EVSE manufacturers, EV service providers, and other V2X solution providers are viewing the dynamic rate pilots and ELRP as two critically necessary components of the “value stack” for their customers. This perception is spurring the necessary investments in product development, customer acquisition, and technology integration. With this in mind, relitigating the issue of dual participation across these two critical programs not only represents a violation of the Commission’s clear Decision but also imposes significant uncertainty and fails to send the correct regulatory signals to the V2X market. This places market and solution development in substantial peril and, in turn, jeopardizes the ability of V2X solutions to provide any benefits for ratepayers and participating customers now or in the future.

**B. Advice Letter 5285-E-A Contains Material Omissions, including a Lack of Consideration of Alternative Methodologies and Impact on Participating Customers.**

VGIC reiterates its appreciation for SCE, as well as PG&E, which contributed through the March 1, 2024 workshop and subsequent advice letter filings toward the development of first-of-their-kind methodologies to permit dual participation across dynamic rate pilots and ELRP Group A.5. The task at hand – avoiding double compensation and double counting – is no easy feat. Nonetheless, Advice Letter 5285-E-A contains two key material omissions, detailed below.

First, Advice Letter 5285-E-A does not sufficiently consider alternative methodologies to permit dual participation as intended and directed in D.24-01-032. Specifically, SCE fails to consider alternatives to avoiding double compensation. VGIC details below several key alternatives that were not considered in Advice Letter 5285-E-A and offers itself as a resource to continue collaborating with SCE, Energy Division staff, PG&E, and other stakeholders to further develop and weigh these alternatives:

- **Adjusted kWh Reading During ELRP Subgroup A.5 Event Hours.** When calculating the dynamic rate pilot shadow bill for a customer participating in ELRP Subgroup A.5, SCE could revise the customer’s kWh reading during ELRP hours to equal the dynamic rate pilot subscription kWh load.<sup>5</sup> The dynamic rate pilot shadow bill would therefore not reflect any credits for reductions below the baseline made during the ELRP event window. From the customer’s perspective, they would receive ELRP compensation through their aggregator and would not receive any dynamic rate credits for load reductions made below the dynamic rate pilot baseline during those same ELRP periods. Notably, PG&E proposed this same methodology during the

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<sup>5</sup> This may need to be done manually. VGIC posits that the relatively limited scale of ELRP A.5 enrollment may contribute to the feasibility of manual adjustments.

- March 1, 2024 workshop as option #2 of five total options for allocating load impacts.<sup>6</sup> Under this method, customers are “dual participating” because they are enrolled in both pilots, yet they are *not double compensated* for kWh load reduction.
- **Compensate Customers Based on Differentiated Grid Benefit Attributes.** When calculating the dynamic rate pilot shadow bill for a customer participating in ELRP Subgroup A.5, SCE can calculate the bill – and any earned bill credits – based on the marginal cost-based prices and scarcity price curves envisioned by the CalFUSE framework, as they would with any other customer dynamic rate pilot customer. Under this method, SCE compensates dynamic rate pilot customers for the **24x7 load optimization services attribute** they are providing. Meanwhile, ELRP payments are provided separately to aggregators per the Terms and Conditions of ELRP, for the **emergency load reduction attribute**. This is an *out-of-market*, non-cost-based approach to bolster grid reliability under the extreme circumstances around which ELRP is structured. VGIC acknowledges that Subgroup A.5 benefits from a more expansive 30-hour dispatch requirement each year compared to other Group A customers, which likely expands beyond the extreme circumstances that serve as the basis for ELRP. However, this 30-hour requirement was established and then repeatedly reaffirmed and explicitly upheld through several Commission Decisions and Resolutions. This reflects the Commission’s clear recognition that the VGI market is nascent and meaningfully supported by the 30-hour requirement.<sup>7</sup> As detailed in Section II.B. above, this incremental market development support is critically needed to ensure VGI solutions are available to customers as EV deployment accelerates and the commensurate grid cost- and reliability-related benefits grow. Under this method, dual participation customers *would* be compensated twice for the same load reduction, however, the payments would be made for *different desired attributes*.
  - **Aggregators and/or Customers Share Proprietary ELRP Compensation with SCE.** As proposed in October 9, 2023 reply comments from CEDMC/OhmConnect/Olivine and Leapfrog, and summarized in D.24-01-032, another method would be for aggregators and/or customers to share information with utilities to support dual participation.<sup>8</sup> Under this method, the customer could receive

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<sup>6</sup> PG&E. *Dual Participation in Expanded Pilots*. March 1, 2024. Slide 8.

<sup>7</sup> See, for example, D.23-12-005 at pg 142: “with ELRP sub-groups A.2, A.4, and A.5, the Commission sought to encourage the growth of new aggregators and resources that do not participate in other forms of DR” and Resolution E-5267 at pg 15: “in establishing the minimum dispatch requirement for ELRP sub-groups A.4 and A.5 in D.21-12-015, the Commission expressed its intent to provide “more certainty to aggregators regarding potential compensation” in return for their efforts to identify and enroll program participants... we reject (without prejudice) the IOUs’ proposal...to decrease the minimum dispatch hours for ELRP sub-groups A.4 and A.5.”

<sup>8</sup> CEDMC/OhmConnect/Olivine and Leapfrog Reply Comments on the Staff Proposal filed October 9, 2024.

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a bill with all the comparative information, as proposed in Advice Letter 5285-E. Additional firewalls and safeguards would need to be established to protect proprietary information.

Second, as detailed above in Section II.A., the short- and long-term success of the V2X market is dependent on the ability to *value stack*, as appropriate, to overcome the relatively high costs that accompany a nascent market. Therefore, SCE's request in Advice Letter 5285-E-A would have a material impact on dynamic rate pilot V2X customers, who will be unable to participate in the pilot without the available V2X equipment and service providers. However, SCE fails to provide an analysis of this impact on V2X customers, a material omission in the Advice Letter.

**C. SCE's Request to Exclude Certain Customers from Participating in the Dynamic Rate Pilot is Discriminatory and Unjust for these Participants.**

Advice Letter 5285-E-A and the subsequently filed Advice Letter 5285-E-B would eliminate dual participation for dynamic rate pilots in ELRP Sub-groups A.2, A.4, and A.5 but would retain dual participation for other ELRP Subgroup A customers and other DR program customers, as required by D.24-01-032. SCE's request, therefore, applies discriminatory treatment for these customers who are excluded from dual participation because SCE's proposed methodologies do not accommodate these customers.

**III. WHAT IS "AT STAKE" FOR THE FUTURE OF V2X.**

VGIC commends the Commission and SCE for seeking to establish much-needed pathways for V2X customers to dual participate in dynamic rate pilots and ELRP Subgroup A.5, the only EV-focused utility demand response opportunity. VGIC's critical and overarching concern is that the market for V2X products and services is still emerging, and there are very few stable revenue streams available that can help this suite of technologies develop even further. As noted above, the dynamic rate pilot and ELRP A.5 are currently the only forms of utility compensation for V2X solutions in California. Thus, VGIC stresses the importance of establishing this dual participation option so that new market entrants can test the viability of different operating paradigms and use cases and scale their operations. A market participant might be hesitant to participate in the dynamic rate pilot if that meant foreclosing the opportunity to continue participating in ELRP Group A.5. This would also negatively impact the dynamic rate pilots, as the Commission would forego any lessons learned that would have arose from V2X participation in the dynamic rate pilots, which is particularly important given the long-term intent to offer mass-market optional dynamic rates.

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#### IV. **CONCLUSION.**

VGIC appreciates the opportunity to submit this Protest to the supplemental Advice Letter. We look forward to collaborating with stakeholders on this important initiative.

Respectfully submitted,

/s/ Zach Woogen

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**Vehicle Grid Integration Council**

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